

spiraling costs and shrinking profit margins, many firms have begun to weed out the former and give greater latitude and opportunity to the latter.

In my own companies, we have instituted a program of

"early retirement" to rid ourselves of the personnel dead-wood which has been allowed to collect over the years—

and which, inevitably, collects in almost any business firm.

Several hundred executives and employees have been compulsorily retired well before reaching the normal retirement age. The criterion for selecting those to be retired has been their actual value to the companies. In brief, the question asked in each case was whether the individual was productive, cost-conscious and profit-minded.

True, the cost of retiring these people and of paying them pensions years before they were due to receive them

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is very high. But we have found that the cost is significantly less than the cost of keeping them on our payrolls, where they not only draw full pay, but cause more harm than good, producing losses instead of profits.

The man with a Millionaire Mentality is not a penny pincher and money-grubber. If he is an executive, he watches costs and tries to reduce them—and strives to increase production and sales and thus profits—in every way he can because he has the interests of the company, its shareholders and employees at heart. He knows that the healthier the company, the better its profit picture, the more those shareholders and employees will benefit.

It is more than a figure of speech to say that an executive holds the stockholders' investments and the employees' jobs in his trust. To discharge those trusts, he must direct every effort to insure that the company makes a fair profit—one not only large enough for it to continue in business, but also large enough for it to take advantage of opportunities for expansion. An executive who understands this and acts accordingly is already well on his